



SaaS Sales Performance Analysis – Capstone Project 2

Profitability, Regional Trends, and Product Insights

M. Faris Ridho

Business Problem & Project Goal

Profitability is inconsistent across regions, segments, and products

High sales do not always translate to high profit

Some markets and products generate negative margins

Need to identify what drives profit weakness

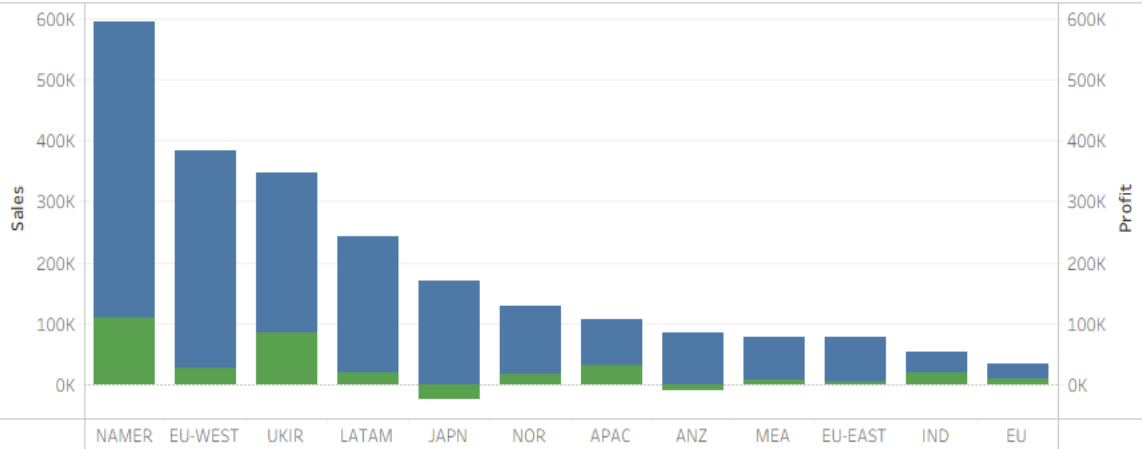


Dataset Summary

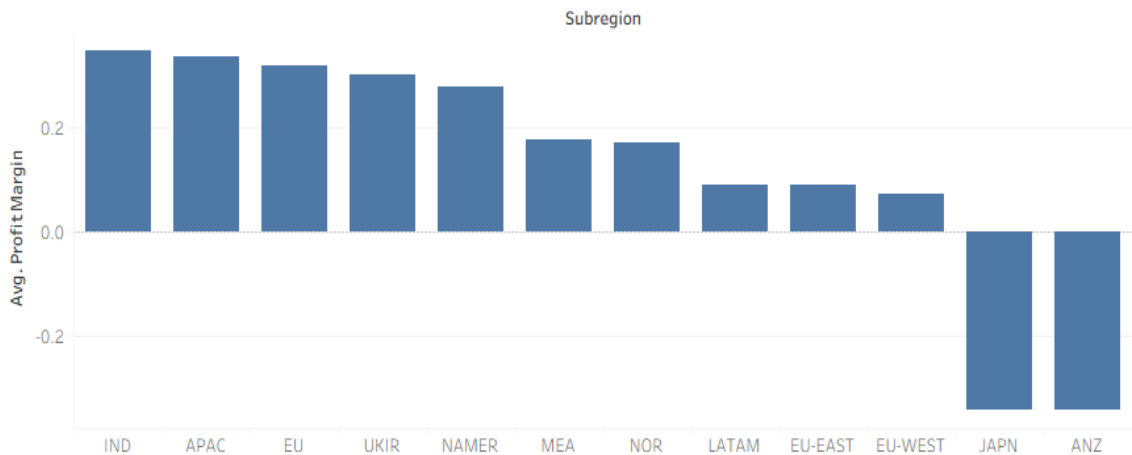
- SaaS Sales dataset ($\approx 9,900$ records)
- Includes: Region, Segment, Industry, Product, Sales, Profit, Discount
- Profit Margin calculated for analysis
- Cleaned data types and removed formatting issues

Subregion Performance

Total Sales and Profit by Subregion

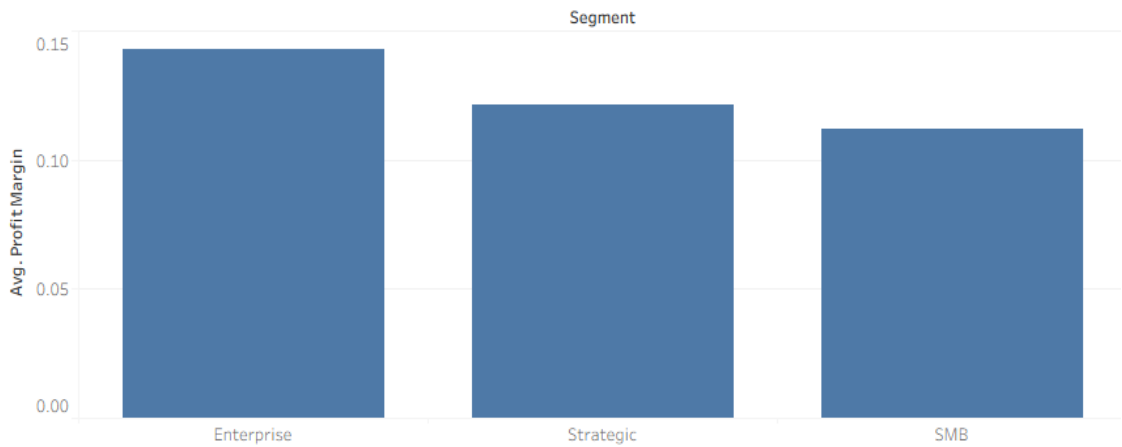


AVG Profit Margin by Subregion

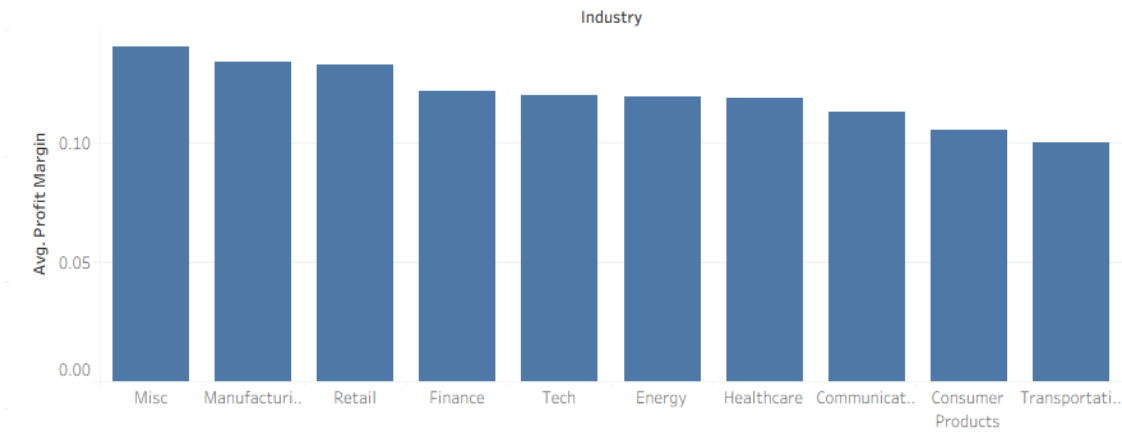


Customer Segment & Industry Profitability

AVG Profit Margin by Segment



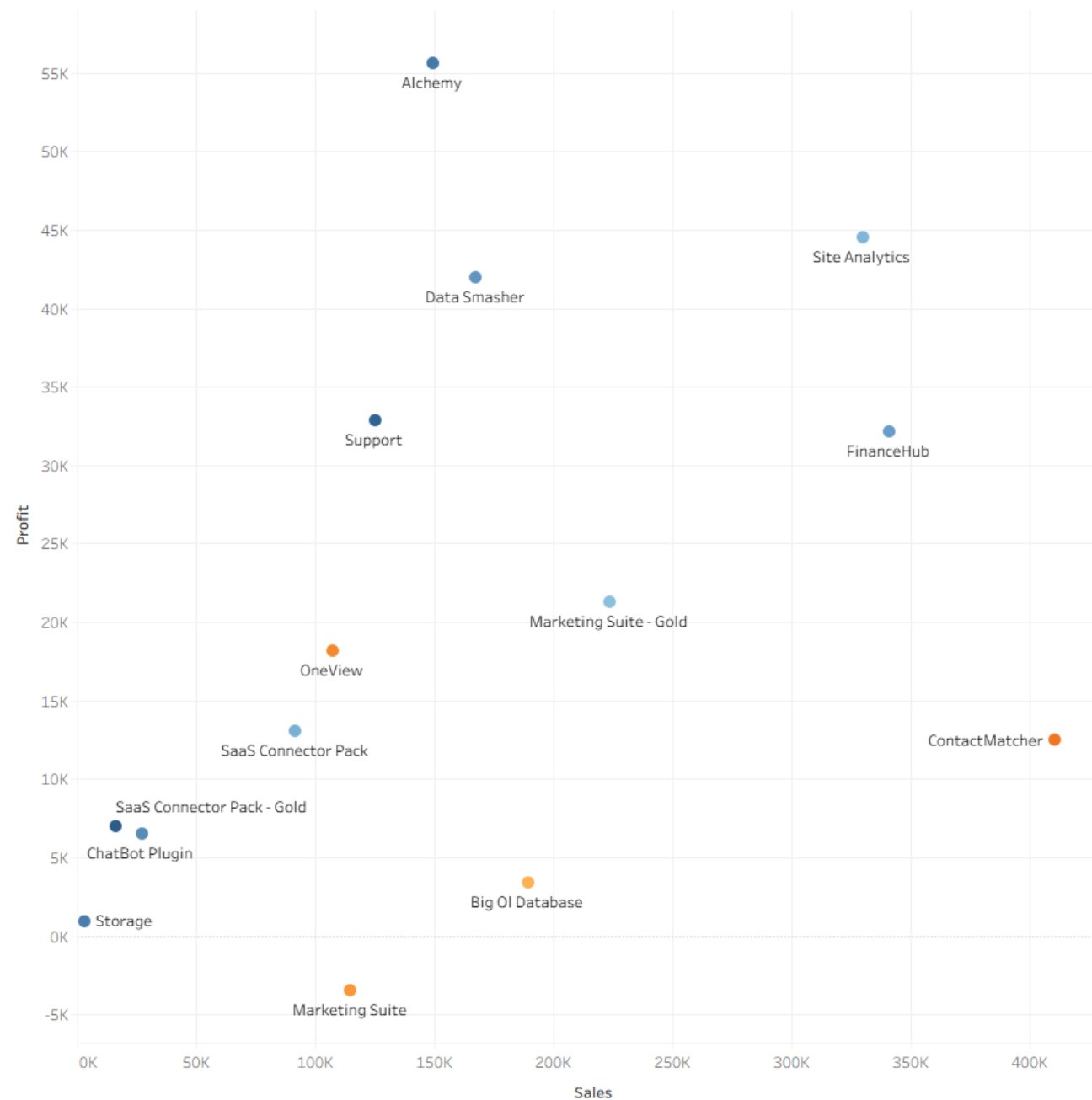
AVG Profit Margin by Industry



Product Performance Overview

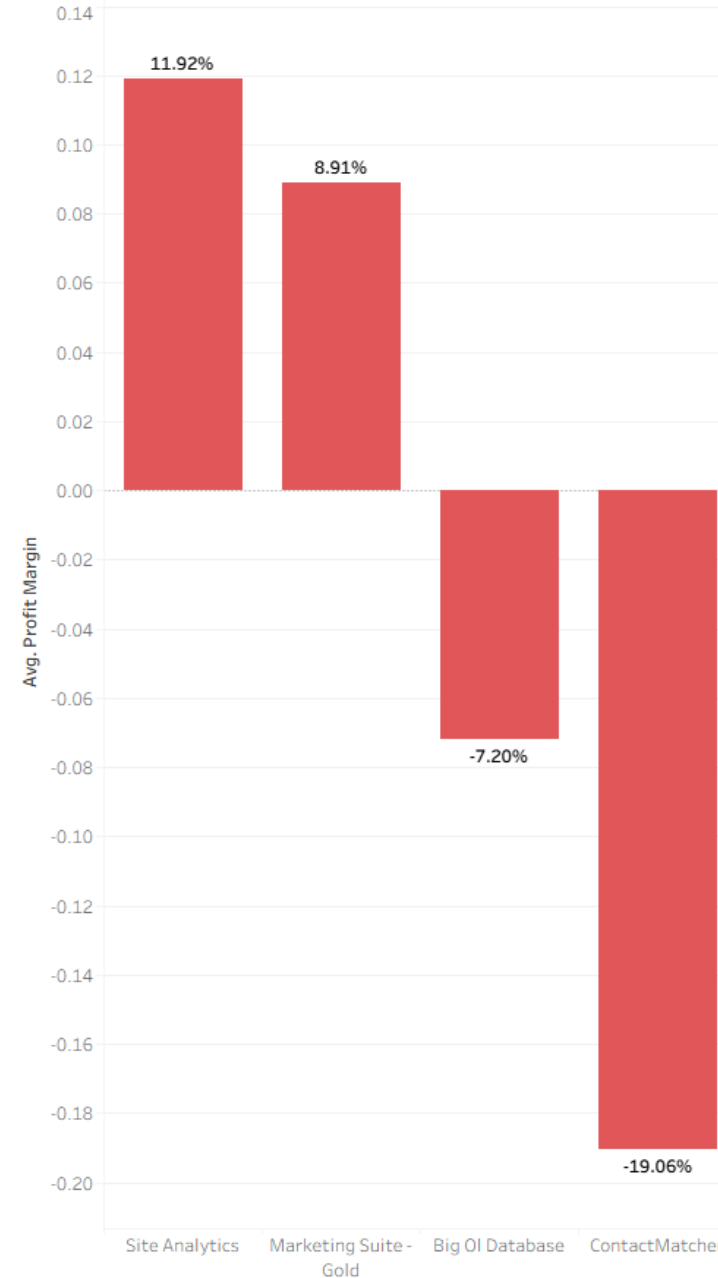
High sales do not always produce high profit. Several products show strong revenue but weak profitability.

Sales vs Profit by Product



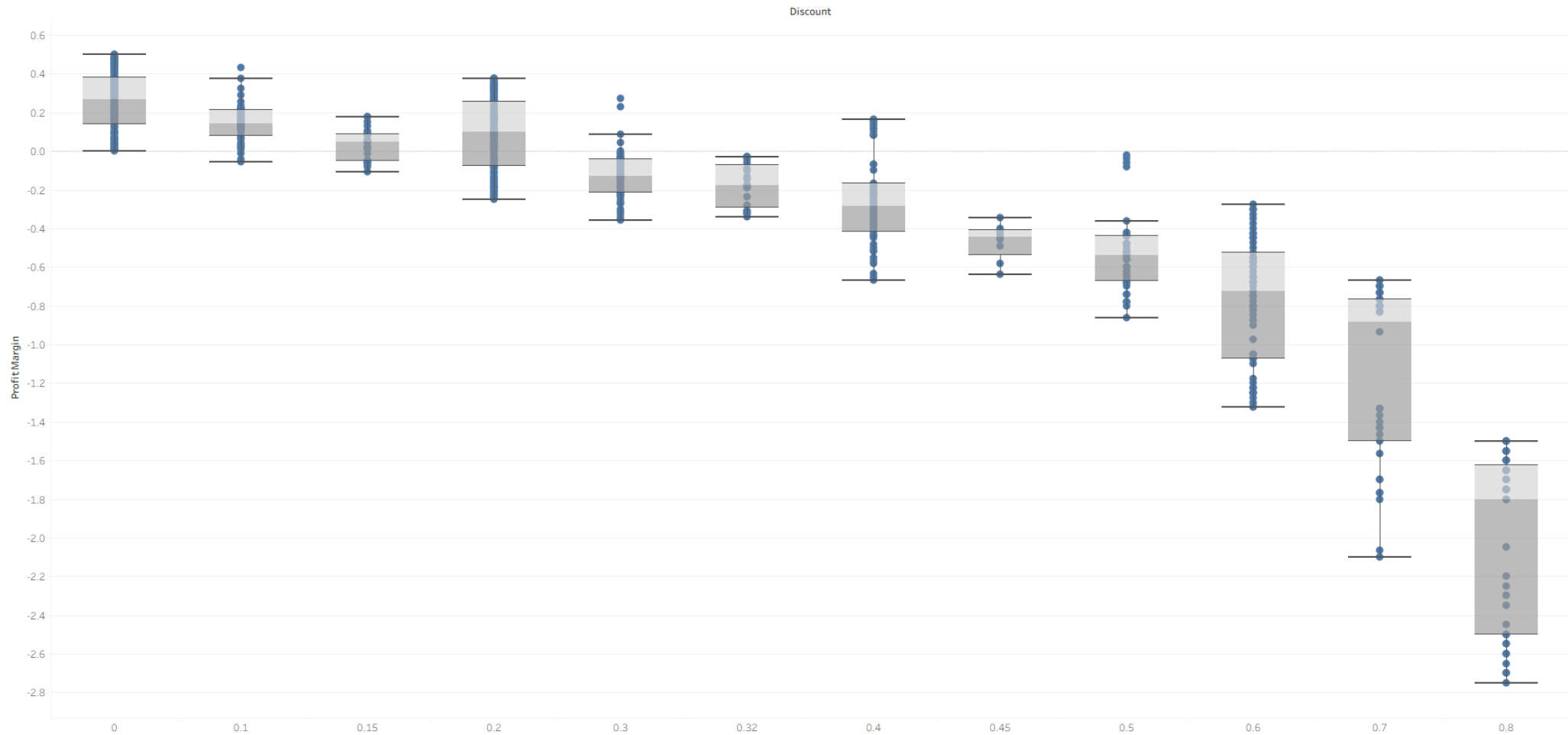
High-Sales, Low-Margin Products (Red Flags)

Problematic Products



Discount Impact on Profit Margin

Profit Margin Distribution by Discount Level



Executive Performance Overview

- Total sales reached **\$2.30M**, with **\$286K** total profit.
- Overall **average profit margin is 12.03%**, indicating moderate efficiency.
- **Enterprise and Strategic** segments drive profitability; **SMB** is the weakest.
- **NAMER & EU-West** are strong markets, while **JAPN & ANZ** show negative margins.

KPI - Total Sales
\$2,297,201

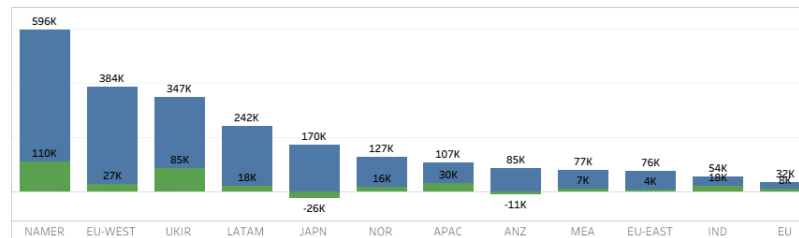
KPI - Total Profit
\$286,397

KPI - Average Profit Margin
12.03%

KPI - Average Discount
15.62%

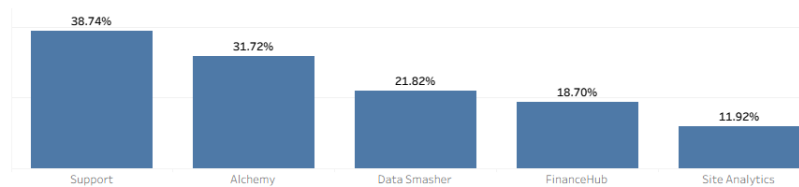
Key financial metrics showing overall company performance and pricing behavior.

Executive - Subregion Total Sales and Profit



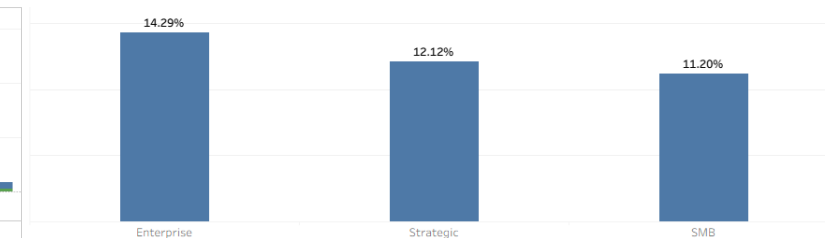
Sales and profit differ significantly across regions. NAMER and EU-WEST perform strongly, while JAPN and ANZ generate losses despite moderate sales levels.

Executive - Top 5 Most Profitable Products



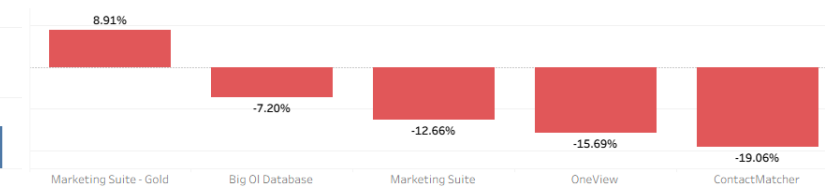
These products drive strong profitability and represent the healthiest parts of the portfolio.

AVG Profit Margin by Segment



Enterprise customers provide the highest margins, while SMB remains the most price-sensitive and least profitable segment.

Executive - Bottom 5 Products by Profit Margin



These products generate revenue but weaken profitability, likely due to heavy discounting or high service costs.

Conclusion

Conclusions

- Company generates **strong revenue (\$2.30M)** but **profitability is uneven** across regions, segments, and products.
- **High discounting is the largest cause of margin erosion** (strong negative correlation).
- Some **top-selling products have low or negative margins**, reducing portfolio efficiency.
- **SMB** is the most price-sensitive and least profitable segment.
- **JAPN & ANZ** show severe profitability issues despite contributing sales.

Recommendations

Pricing & Discount Strategy

- Tighten discount rules, especially for **discounts >40%**, which consistently lead to negative margins.
- Implement **approval gates** for large discounts in SMB and low-margin industries.

Product Strategy

- Prioritize corrective action on **high-sales, low-margin products** *ContactMatcher, OneView, Marketing Suite – Gold, Big Ol Database.*
- Continue promoting healthy-margin products such as *Support, Alchemy, Data Smasher, FinanceHub.*

Customer & Market Strategy

- Strengthen targeting for **Enterprise and Strategic segments** (best profitability).
- Develop region-specific plans for **JAPN & ANZ**: pricing adjustments, reduced discounting, better cost control.